

**BEFORE THE
FEDERAL MARITIME COMMISSION**

LOGFRET, INC.,

Complainant,

v.

Docket No. 18-10

KIRSHA, B.V.,
Leendert Johannes BERGWERFF a/k/a Hans BERGWERFF,
LINDA SIEVAL,

Respondents.

RESPONDENTS' MEMORANDUM IN SUPPORT OF MOTION TO DISMISS

I. INTRODUCTION.

Respondents Kirsha B.V., Hans Bergwerff, and Linda Sieval, (collectively, “Respondents”) submit this memorandum in support of their Motion to Dismiss the Complaint of Logfret, Inc. (“Logfret” or “Complainant”) for lack of subject-matter and personal jurisdiction over Respondents pursuant to the Federal Rules of Civil Procedure, Rules 12(b)(1) and (2). Complainant has sought to misrepresent internal management/employment disputes between Complainant and Respondents as violations of U.S. federal shipping laws. It can be ascertained from the pleadings that the natural person Respondents, during the pertinent time period, were acting as managers, and employees of Logfret, B.V., a company affiliated with Complainant. Complainant has also failed to meet its burden of alleging a *prima facie* case that these claims fall within the Federal Maritime Commission’s (“FMC” or the “Commission”) limited jurisdiction as to all Respondents.

Additionally, Complainant has blatantly failed to allege preconditions of the statutory requirements of 46 U.S.C. § 41103(a), a *sine qua non* for pleading subject violations – i.e., that

Respondents acting as common carriers, marine terminal operators, and/or ocean freight forwarders breached subject statute. In fact, as stated in the pleadings, the two natural persons named as Respondents were managers and employees of Logfret, B.V. (an affiliate of Complainant) during the pertinent period. While the pleadings do not state that corporate Respondent, Kirsha B.V. is connected with Logfret B.V.¹, the Complaint does not plead that it was a common carrier, ocean freight forwarder, or marine terminal operator during the period in question. Further, the pleadings as to Kirsha, B.V. and the other Respondents do not allege any facts to state a claim pursuant to Rule 8 of the Federal Rules of Civil Procedure for relief that are plausible on their face, and that establish personal or subject-matter jurisdiction, the current federal legal standard in evaluating the sufficiency of pleadings. *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007). On the other hand, the facts which are pleaded and are not conclusory facts clearly show that the dispute among the parties is based on commercial/contractual bases, and not on violations of the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998 (the “Shipping Act”).

Clearly, good cause exists to grant this Motion to Dismiss for the reasons set forth above and reviewed below lest the Commission becomes the repository for resolution of endless global internal corporate disputes having nothing to do with the Shipping Act.

II. THE PLEADING DEFICIENCIES OF THE COMPLAINT.

Complainants have ostensibly brought their complaint (the “Complaint”) pursuant to Section 10(b)(13) of the Shipping Act, 46 U.S.C. § 41103(a), and pursuant to the FMC’s authority under Section 11(a) of the Shipping Act. Complainant alleges violations of 46 U.S.C. §

¹ While Kirsha, B.V. is conspicuously not alleged to have a separate relationship with Logfret, B.V., see attached Exhibit A, whereby Hans Bergwerff declares that Kirsha, B.V. owns 50% of Logfret, B.V. and is 50% owner of Meer Retail B.V. which has a 5 year office lease with Logfret, B.V. as its tenant in effect until December 2020.

41103(a) which states as follows in pertinent parts:

46 U.S.C. § 41103. Disclosure of information

(a) Prohibition.—A common carrier, marine terminal operator, or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, may not knowingly disclose, offer, solicit, or receive any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information—

(1) may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier; or

(2) may improperly disclose its business transaction to a competitor.

Respondents will demonstrate that the pleadings, if for purposes of this Motion are considered true, do not state that Respondents are regulated persons or entities under the Shipping Act – i.e., that none of the Respondents are “common carriers, marine terminal operators, nor ocean freight forwarders,” nor are they alleged to be persons otherwise subject to the Act; that none of the Respondents engaged in conduct or behavior in violation of the Shipping Act or the FMC regulations; and that none have individually held themselves out in any manner or capacity that would result in Commission oversight within the context of 46 U.S.C. § 41103(a) or any other section of the Shipping Act. More specifically, none of the non-conclusory factual allegations in the Complaint, if taken for purposes of this Motion to be true, relate to Respondents, in their own right, either acting as or holding out as common carriers, marine terminal operators, or as ocean freight forwarders. Furthermore, the facts identified as the gravamen of the dispute in the pleadings, do not indicate that the Commission has subject matter jurisdiction over the dispute. Accordingly, the FMC lacks personal jurisdiction over

Respondents, and the factual pleadings, if all are taken as true, do not state a claim over which the Commission has jurisdiction. The Complaint should be dismissed with prejudice as to each of the Respondents pursuant to the below discussion. *See e.g., DNB Exports LLC v. Barsan Global Lojistiks Ve Gumruk Musavirligi A.S.*, Initial Decision FMC Docket No. 11-07 at 3-4 (Jan. 24, 2014) (“Because neither BGL nor Impexia is a common carrier, marine terminal operator, or ocean freight forwarder . . . the Commission does not have jurisdiction over them. Therefore, the claims against BGL and Impexia are dismissed with prejudice for lack of personal jurisdiction.”).

III. FACTUAL BACKGROUND.

On November 16, 2018, Complainant filed the Complaint alleging that Respondents from March 1, 2017 until May 12, 2017, violated Section 10(b)(13) of the Shipping Act, 46 U.S.C. § 41103(a). The pleadings state that Mr. Bergwerff, while acting as managing director of Logfret, B.V., and Ms. Sieval, while also an employee of Logfret, B.V., by issuing Logfret, Inc.’s bills of lading for shipments to the U.S. and Canada, violated the aforementioned shipping statute. The pleadings state that this was done by knowingly disclosing, offering, soliciting and receiving information concerning the nature, kind, quantity, destination, shipper, consignee, and routing of property tendered or delivered, impliedly without the consent of Logfret, Inc., to Delmar International (USA) Inc. (“Delmar USA”),² a subsidiary of Delmar International, Inc., a Canadian NVOCC, and a competitor of Logfret, Inc. The Delmar companies were retained as handling agents in the U.S. by Logfret B.V. on behalf of Logfret, Inc. acting as an NVOCC, and instead of utilizing Logfret, Inc. offices in the United States and Canada as handling agent for

² Delmar International (N.Y.) Inc. is an FMC licensed OTI incorporated in New York with a trade name of Delmar International (USA). There is no FMC licensed OTI named Delmar International (USA), Inc.

customers generated by Logfret B.V., Delmar USA offices were used for that purpose.

The Complaint is ostensibly supported by alleging and underscoring with specificity that the retention of Delmar USA by Logfret B.V. was accomplished without the knowledge (and obviously without the approval) of Logfret, Inc. Complaint at Paragraphs 11, 12, 13, 14, 15, 16, 17, 18 and 22. Other clear and plausible facts alleged were that Respondents during the pertinent period “. . . committed numerous unethical and illegal management decisions with respect to Logfret B.V., including improper leasing and refurbishment of new offices, improper accession to a new management agreement, and misappropriation of company assets.” Complaint at Paragraph 11. There are no plausible factual averments as to the violation of Section 10(b)(13) of the Shipping Act, 46 U.S.C. § 41103(a). The above are basically, and almost literally, the essence of the non-conclusory factual pleadings in the Complaint.

The Complainants also allege that as a direct consequence of the unlawful conduct engaged in by Respondents between March 1, 2017 until May 12, 2017, by breaching 46 U.S.C. § 411039(a), Complainant has been harmed and prejudiced in a number of unspecified ways, including suffering the loss of past and current revenue as well as loss of reputation, all of which has caused Logfret, Inc. damages of at least \$2,000,000. Complaint at Paragraph 19. Delmar International (USA) Inc., an alleged competitor of Logfret, Inc., and subject to the Commission’s jurisdiction, which received the proprietary information subject of 46 U.S.C. § 411039(a) as handling agents for subject shipments have curiously not been named as respondents. This reinforces a conclusion that the matters at hand are not those clothed as violations of the Shipping Act. In other words, if it was credibly alleged (which it is not) that Logfret was damaged in the vicinity of \$2,000,000 by Respondents having provided Delmar USA information related to Logfret, it would stand to reason that the party receiving that information,

over which the Commission does have jurisdiction, would also be a named Respondent in the proceeding. Curiously, it is not. This underscores that this supposed information flow is not the real subject of this dispute.

Lastly, the pleadings do not contain any information as to whether the “shipper or consignee” of the shipments impliedly consented, complained, or objected in any way to the sharing of information of the shipments with the handling agent, Delmar USA., which are customary for the delivery of shipments. 46 U.S.C. § 41103(a) clearly is a protective mechanism for shippers and consignees (not common carriers) since shippers and consignees can consent to dissemination of information relating to the shipment whether or not it is detrimental to common carriers. Respondents hereby assert that since the protected shipment information is essential to the handling agent function that the shippers and consignees were clearly aware that this information was available to Delmar USA and that the shippers/consignees impliedly consented to this process. There are no allegations in the pleadings to assert that the shippers or consignees objected to the handling agents receiving the information on the housebills, obviously necessary for delivery of the shipments. There is at the very least an implied assent by the shippers and consignees that the information allegedly imparted by Respondents, and allegedly received by Delmar USA to effect delivery, was acceptable to the shippers and consignees.

IV. STANDARD OF REVIEW

a. Application of Rules 12(b)(1) and 12(b)(2) of the Federal Rules of Civil Procedure.

Complainant brings this suit against Respondents pursuant to 46 U.S.C. § 41103(a), which states that a “common carrier, marine terminal operator, or ocean freight forwarder” may not knowingly disclose any information concerning the nature, kind, quantity, destination,

consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee.

Respondents seek dismissal with prejudice of the Complaint for lack of personal and subject matter jurisdiction by the FMC. Since no specific FMC Rule provides for a motion to dismiss for lack of personal jurisdiction or subject matter jurisdiction, the Commission should, consistent with its procedural regulations, apply Rule 12(b)(1) and 12(b)(2) of the Federal Rules of Civil Procedure. Refer to 46 C.F.R. § 502.12 (“In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.”). Federal Rules of Civil Procedure Rules 12 (b)(1) and 12 (b)(2) allow for Respondents to bring a motion to dismiss as follows: “Every defense to a claim for relief in any pleading must be asserted in the responsive pleading if one is required. But a party may assert the following defenses by motion: (1) lack of subject-matter jurisdiction; and (2) lack of personal jurisdiction”

The Commission has clearly articulated in the past that, before proceeding to the merits of a case, the FMC must determine whether it has jurisdiction over the parties and subject matter. *E.g. Kawasaki Kisen Kaisha. LTD. v. Intercontinental Exchange, Inc.*, 2000 WL 1285694 (FMC) (it is “elementary law that a court or agency of limited jurisdiction such as the Federal Maritime Commission should determine its jurisdiction before proceeding to decide the merits of a controversy”); *Government of the Territory of Guam v. Sea-Land Service, Inc.*, 28 S.R.R. 252, 265 (FMC 1998) (“The general rule is that an adjudicatory body must first find that it has jurisdiction over the parties and the subject matter of the case before it reaches the merits.”). The case at bar presents this very issue, as it pertains to Respondents, and warrants the Commission’s initial review of these jurisdictional issues.

b. Limited Jurisdiction of the Federal Maritime Commission.

The Commission's jurisdiction over specific persons and entities involved in ocean borne commerce is well-established, dating to the enactment of the Shipping Act, 1916, and presently derived from and circumscribed by the Shipping Act. 46 U.S.C. §§ 40101 - 41309. Pursuant to the Shipping Act, the Commission has limited regulatory jurisdiction to oversee defined activities of international shipping lines ("ocean common carriers"), marine terminal operators, and ocean transportation intermediaries ("OTIs"), including non-vessel operating common carriers ("NVOCCs") that provide certain regulated services in the United States foreign commerce. In short, the FMC's stated mission is ". . . [t]o foster a fair, efficient, and reliable international ocean transportation system and to protect the public from unfair and deceptive practices." It is axiomatic that the Commission is not empowered to adjudicate disputes between parties in the ocean transportation industry unless such complaints are based on violations of the Shipping Act, as amended.

The Shipping Act defines an "ocean common carrier" as "a person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation . . ." 46 U.S.C. § 40102(6) and (17). A "marine terminal operator" means "a person engaged in the United States in the business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier . . ." 46 U.S.C. § 40102(14) (emphasis added). The Act further defines an "ocean transportation intermediary" as an ocean freight forwarder or a non-vessel-operating common carrier. Specifically, an "ocean freight forwarder" is a person that "(a) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of

shippers; and (b) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(18) and (19) (emphasis added). An NVOCC means “a common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(16).

The Commission has no statutory or regulatory authority to oversee a person or entity that does not conduct activities that squarely fall under the Act. The Commission has held that the status of a “person” under the Act is not determined by his or her own declaration of what he or she is, but what he or she is, in fact, doing. *E.g., Carolina Marine Handling, Inc. v. South Carolina State Ports Authority*, 2000 WL 722272 (FMC) (citing *Stark v. Wickard*, 321 U.S. 288, 309 (1944); *Marine Terminal Practices of the Port of Seattle*, 18 S.R.R. 141, 156 (ID 1978), adopted 18 S.R.R. 1 029 (FMC 1978)). Resolution of this question depends upon consideration of the facts. Therefore, under its prior precedents (in addition to considering the representations of the parties), the Commission should consider Respondents’ actions, as pleaded by Complainant, in determining whether its activities fall within the definition of a regulated entity and/or regulated activities under the Shipping Act. Such review will conclude without reservation that the Respondents are not persons in their current activities, as pleaded, which are subject to the personal jurisdiction of the FMC, nor do the activities of Respondents, as pleaded, involve subject matter under the jurisdiction of the Commission.

c. The *Twombly* Plausibility Standard.

The U.S. Supreme Court in a 7–2 decision in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) (“*Twombly*”) reversed the Second Circuit and affirmed the district court’s grant of the motion to dismiss for failure to state a claim. The Court asserted it was “not requiring heightened fact pleading of specifics,” but did require enough facts “to state a claim to relief that is

plausible on its face.” *Id.* at 570 (emphasis added). The Court concluded that *Twombly* had not “nudged their claims across the line from conceivable to plausible,” and held the complaint had to be dismissed. *Id.*

Subsequently in *Ashcroft v. Iqbal*, 556 U.S. 662 (2009) (“*Iqbal*”), in its discussion of the amount of factual content necessary to show “plausibility” the U.S. Supreme Court focused on the word “show” in the Federal Rules of Civil Procedure, Rule 8(a)(2), which requires a “short and plain statement of the claim **showing that the pleader** is entitled to relief.” Fed R. Civ. P. 8(a)(2) (emphasis added). The *Iqbal* Court stated that when “the well-pleaded facts do not permit the court to infer more than the mere possibility of misconduct, the complaint has alleged—but it has not ‘show[n]’—that the pleader is entitled to relief.” *Iqbal*, 556 U.S. at 679 (quoting Fed R. Civ. P. 8(a)(2)). The *Iqbal* Court distinguished between allegations which merely establish a possibility and those which make a factual “showing”: they need not establish a probability, but must at least be sufficient to allow the court to “draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* at 678 (citing *Twombly*, 550 U.S. at 556).

Equally so, with respect to the sufficiency of the pleadings as to whether Complainant has met the standards of *Iqbal*, 556 U.S. 662, the Commission must also determine whether Complainant pleaded sufficiently with respect to the violation of 46 U.S.C. § 41103(a). The pleading must provide a factual showing by which the Commission could “draw the reasonable inference that the defendant is liable for the misconduct alleged” which entitles Complainant to relief, and over which the Commission has personal and subject-matter jurisdiction over Respondents. In this regard the *Twombly* standard is that the Commission must accept as true all well-pleaded factual allegations in the Complaint, but need not accept truthfulness of legal

conclusions.

Finding that the standards set forth in *Twombly* applied to *Iqbal*'s complaint, the Court stated that a two-pronged test provides the basis for *Twombly*. *Iqbal*, 556 U.S. at 678-79. First, the court must accept as true all well-pleaded factual allegations in the complaint (but need not accept the truthfulness of legal conclusions). Thus, a court considering a motion to dismiss can begin by identifying legal conclusions (whether couched as factual allegations or bald conclusory statements) that, because they are no more than conclusions, are not entitled to the presumption of truth. Second, considering the remaining well-pleaded factual allegations, the court must determine whether the complaint states a plausible claim for relief. Following this methodology, the Court eliminated most of the allegations in the *Iqbal* Complaint as conclusory and determined that the remaining non-conclusory allegations did not plausibly establish a case of discrimination. *Id.* at 679. Only a complaint that states a plausible claim for relief can survive a motion to dismiss. If the complaint contains well-pleaded factual allegations, the "court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief." *Id.* *Iqbal* made plain that the *Twombly* analysis applies "in all civil actions and proceedings in the United States District Courts." *Id.* at 684. In doing so, *Iqbal* makes it clear that *Twombly* applies to all cases governed by the Federal Rules of Civil Procedure.

Respondents hereby assert that the factual allegations in the pleadings in this matter, taken as true, do not give rise to a plausible claim for relief because they do not establish either personal jurisdiction over Respondents or subject-matter jurisdiction as will be further discussed. Consistent with *Twombly* prong two, as described in *Iqbal*, the Complaint cannot survive a motion to dismiss because it does not state a plausible claim for relief. *See id.* at 679.

V. ARGUMENT

a. Analysis of Respondents and their Putative Status as Common Carriers, Marine Terminal Operators, or Ocean Freight Forwarders.

i. None of the Respondents were alleged to be acting as ocean freight forwarders and/or marine terminal operators.

This analysis is to determine whether any of the Respondents was a “common carrier, marine terminal operator, or ocean freight forwarder” during the pertinent period, which are prerequisites to establish, not only for establishing whether the Respondents are persons subject to the Act, but also to determine whether these conditions were properly pleaded by Complainant for purposes of stating subject matter jurisdiction or for that matter a claim for which relief can be granted, which is required when asserting violations of 46 U.S.C. § 41103(a). It would be useful to review these terms to see how they may or may not be applicable to these Respondents as per the pleadings. In conducting this review, two of the categories can be readily removed as implausibly applicable to Respondents’ activities. From the pleadings none of the Respondents can be plausibly found to be acting as either ocean freight forwarders or marine terminal operators. As previously noted, both of these activities, pursuant to definitions in the Shipping Act (46 U.S.C. § 40102(14) (marine terminal operator), and 46 U.S.C. § 40102(18) (ocean freight forwarder)) are required to be performed in the United States.

Complainant clearly asserts in the pleadings that all three Respondents are located in The Netherlands with local addresses, and the acts which Complainant offers as supporting the violation activity all occurred in The Netherlands. Complaint at Paragraphs 5, 6, 8, 11 and 14. Therefore, there is no further need to conduct further review of the ocean freight forwarder or marine terminal operator status for Respondents for purposes of establishing personal and/or subject-matter jurisdiction. Accordingly, the only remaining statutory term of interest for this

analysis is whether the pleadings sufficiently demonstrate or show Respondents acting as common carriers.

ii. None of the Respondents were alleged to be acting as common carriers.

The allegations with respect to the acts performed by Respondents which purportedly form the factual basis for the alleged violations are those described in Paragraphs 14 through 18 and 22 of the Complaint. The relevant factual portions of those paragraphs state that commencing on or about March 1, 2017, Mr. Bergwerff, with the help of Ms. Sieval, were involved in the following “by and through” Kirsha B.V.:

- Directed Logfret B.V. to handle all customers for inbound shipments to the United States through Delmar USA rather than Logfret, (while not explicitly stated, we reasonably infer this to mean that Logfret, Inc. was not to be designated as handling agent for subject shipments to the U.S.);
- For this cargo, as agent for Logfret, Inc., Logfret B.V. issued Logfret, Inc.’s bills of lading and for these transactions Mr. Bergwerff knowingly received information about the nature, kind, quantity, and destination of cargo tendered or delivered to Logfret, B.V. for import to the U.S.;
- Respondents used the shipment information for these transactions for shipments initiated from The Netherlands to the U.S. by Logfret B.V. to be transported by Logfret, Inc. as an NVOCC but to be routed inbound at destination by handling agent Delmar USA. Delmar USA was appointed as handling agent for these shipments, without the knowledge or presumably permission of Logfret, Inc., by Mr. Bergwerff and Ms. Sieval, respectively the manager and both employees of Logfret B.V. Delivery information was disclosed to the handling agent, Delmar USA;
- During the course of their improper activities, Mr. Bergwerff and

Ms. Sieval, employees of Logfret B.V., Logfret Inc.'s Dutch agent, used Logfret Inc.'s bill of lading as an NVOCC; and

- Respondents' activities continued from March 1, 2017 until May 12, 2017, when Mr. Bergwerff was dismissed by the general meeting as managing director of Logfret B.V.

The Shipping Act defines an "common carrier" as "a person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation . . ." 46 U.S.C. § 40102(6). Within the context of the allegations pleaded in the Complaint per the above summary, the sole allegations with respect to Respondents' actions involving a common carrier is the fact that Logfret, Inc.'s bills of lading were issued for subject transactions for shipment to the U.S. The only other common carrier in the allegations described above is the handling agent, Delmar USA. Complaint at Paragraph 13. Delmar USA's role in the alleged facts are clearly not as a common carrier, but rather as a handling agent for a common carrier, Logfret, Inc. There are no allegations of Delmar USA issuing bills of lading. The long and the short of the above discussion is that none of the allegations plead that Respondents acted as common carriers with respect to the alleged dissemination of the pertinent information comprising a violation of 46 U.S.C. § 41103(a). Clearly, Logfret, Inc., the only common carrier mentioned in the activities described in the pleadings, would not file a Complaint against itself. The dispute among the parties is obviously elsewhere.

This analysis of the facts alleged and pleaded in the Complaint underscores that Complainant had complaints relating to Respondents' activities when acting as manager and employees of Logfret B.V., as an agent for Logfret, Inc., for not using Logfret, Inc. as the destination handling agent in the U.S. and for divulging sensitive commercial information to the

selected handling agent for the U.S. imports, an alleged common carrier competitor of Logfret, Inc. However, those alleged activities do not comprise a violation of 46 U.S.C. § 41103(a). Respondents are clearly not acting as common carriers. The only party which acted as a common carrier (issued bills of lading) is Complainant itself albeit through its agent Logfret B.V. On the other hand, the only other common carrier in the pleading is Delmar USA, the U.S. handling agent appointed by Logfret B.V. for delivery of Logfret, Inc. shipments in the U.S. However, the pleadings clearly show that Delmar USA, as Logfret, Inc.'s agent, was not acting as a common carrier. There are no allegations of Delmar USA acting as a common carrier, and as noted previously, that entity is not a named respondent in this case. Therefore, for purposes of this section of the discussion, the pleadings clearly do not plead that any of the Respondents acted as common carriers.

iii. Kirsha B.V. Is Not an Entity Subject to the Shipping Act of 1984, as amended.

While Mr. Bergwerff, with the help of Ms. Sieval are pleaded with some specificity as to their employment relationship with Logfret, B.V., Respondent Kirsha B.V. at best is described in Complainant's pleading specifically as a corporation organized under the laws of the Netherlands with its principal place of business at Barendrecht, The Netherlands, and whose managing director is Mr. Hans Bergwerff. Complaint at Paragraphs 6 and 7. Complainant alleges generally that Kirsha B.V. "committed numerous unethical and illegal management decisions with respect to Logfret, B.V., including improper leasing and refurbishment of new offices, improper accession to a new management agreement, and misappropriation of company assets." And then, in the broadest of conclusory terms, Complainant, in the same paragraph relating to Kirsha, B.V., states: "Among the many illegal acts committed by Respondents were a number of violations of the Shipping Act, as amended, to the irreparable detriment and

prejudice of Logfret.” Complaint at Paragraph 11. The only factual pleadings (not couched in conclusory facts) deal with leasing and refurbishment of offices, management agreements and decisions in relation to Logfret, B.V., and alleged “misappropriation of company assets” and even these are speculative, but surely not matters of concern pursuant to the Shipping Act or the Commission’s jurisdiction. While it is not relevant to this Motion to Dismiss to demonstrate the real activities and relationship of Respondent Kirsha, B.V. *vis a vis* Logfret, B.V., it is of interest to note that Kirsha, B.V., was a holding company owned 100% by Hans Bergwerff, and was 27.42% owner of Logfret B.V., and 50% owner of Meer Retail B.V. Meer Retail B.V., during the period in question, and continuing until 2020, is Logfret, B.V.’s landlord. See Exhibit A. What is significant is that curiously these facts were not pleaded by Complainant in its pleadings when describing the parties’ relationships. Additionally, the appointment of Delmar USA by Logfret B.V. as a handling agent for Logfret, Inc., which seems to be at the heart of the dispute among the parties, also does not reach the levels of a Shipping Act violation. Whether Logfret B.V. was acting beyond its authority to appoint Delmar USA as Logfret, Inc.’s handling agent is not a Shipping Act subject-matter over which the Commission has jurisdiction.

In Complaint Paragraph 22, Complainant pleads the following:

“Between March 1, 2017 and May 12, 2017, Mr. Bergwerff, **by and through Kirsha B.V.**, knowingly received information about the nature, kind, quantity, and destination of cargo tendered or delivered to Logfret, B.V., the issuer of the bill of lading. Furthermore, Mr. Bergwerff, **by and through Kirsha B.V.**, and Ms. Sieval used this information to the detriment and disadvantage of Logfret, a common carrier, by unlawfully routing inbound shipments away from Logfret toward at least one competing common carrier in Atlanta, Delmar USA.”

There is no description of what “by and through Kirsha B.V.” means, and there is no

other mention of Kirsha, B.V., other than to be lumped in general formulaic conclusory statements relating to the alleged bad deeds of Respondents. There are no provisions in the pleadings which state that Kirsha B.V. acts as a common carrier, marine terminal operator, or ocean freight forwarder. This is clearly in direct contravention of the specificity requirements of *Twombly* and *Iqbal*. As noted, the *Iqbal* Court distinguished between allegations which merely establish a possibility and those which make a factual “showing”. They need not establish a probability, but must at least be sufficient to allow the court to “draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). In the instant case, the pleadings with regard to Kirsha, B.V. are bereft of a factual showing that would establish personal jurisdiction over that respondent, nor are there any allegations which would indicate that the Commission has subject matter jurisdiction over these disputes.

The Commission clearly does not have personal jurisdiction over Kirsha B.V., a company from the Netherlands, whose activities in the pleadings are probably intentionally vague. One has to question why it was not mentioned in the pleadings that Kirsha, Inc. was part owner of Logfret, B.V. and that it was 50% owner of Logfret B.V.’s landlord, Meer Retail B.V. In any case, more pertinent to this Motion to Dismiss is that there are no pleadings whatsoever that Kirsha B.V. was a party otherwise covered by the requirements of 46 U.S.C. § 41103(a) – i.e., there are no averments that Kirsha B.V. is, or acts, as any of the parties to which that statute applies (common carrier, ocean freight forwarder, or marine terminal operator). Further, the pleadings do not state a claim against Kirsha B.V. which would subject it to the Commission’s jurisdiction, nor activities which allege involvement by Kirsha B.V. as matters over which the Commission has personal jurisdiction. For the above reasons, Kirsha B.V. must also be

dismissed from the proceedings.

iv. The Deficient Pleadings Cannot be Cured by Amendment.

Based on the above discussion that clearly shows that Complainant has not pleaded the preconditions of the statutory requirements of 46 U.S.C. § 41103(a), Respondents request that the Commission take official notice pursuant to 46 C.F.R. § 502.226 that Respondents are not identified in the Commission's public records as common carriers, marine terminal operators, nor ocean freight forwarders.

b. The Plausible Facts in the Pleadings Lack Subject Matter Jurisdiction of the Commission.

In following the standards set forth in *Twombly*, the courts have followed a two-pronged test. First, the court must accept as true all well-pleaded factual allegations in the complaint (but need not accept the truthfulness of legal conclusions). Thus, a court considering a motion to dismiss can begin by identifying legal conclusions (whether couched as factual allegations or bald conclusory statements) that, because they are no more than conclusions, are not entitled to the presumption of truth. Second, considering the remaining well-pleaded factual allegations, the court must determine whether the complaint states a plausible claim for relief. Following this methodology, as we have seen, none of the facts alleging plausible facts (not bald conclusory statements) results in a credible or plausible set of facts that indicate a violation of 46 U.S.C. § 41103(a). Nonetheless, the well-pleaded facts establish that there is a dispute between Logfret, Inc. and Respondents, but the dispute clearly is not based on violations of the Shipping Act and, therefore, the Commission would lack subject-matter jurisdiction to deal with these issues. The dispute, if any, consists of the following as pleaded in the Complaint, and for purposes of this Motion to Dismiss only, they must be taken as true:

- a) Respondents "committed numerous unethical and illegal management decisions

with respect to Logfret B.V., including improper leasing and refurbishment of new offices, improper accession to a new management agreement, and misappropriation of company assets.” Complaint at Paragraph 11. This is significant since both Mr. Bergwerff and Ms. Sieval were employees of Logfret B.V., and since Mr. Bergwerff was also the managing director of Logfret B.V. The obvious issues would be their terms of employment and with Mr. Bergwerff the level of management discretion that he could legitimately exercise in that role, especially relating to the appointment of Delmar USA as Logfret, Inc.’s handling agent in the U.S. In any case, these are not FMC issues. While not in the pleadings, and not necessary for this Motion to Dismiss, the facts contained in Mr. Bergwerff’s Declaration (Exhibit A) are helpful to explain the real nature of the Complaint. In view of the part ownership and landlord status of Kirsha, B.V. as to Logfret, B.V., one cannot help but wonder to what degree the real issues deal with corporate disputes between the parties; the extent of Mr. Bergwerff’s authority as part owner, landlord and managing director of Logfret, B.V. to independently appoint agents of Logfret, Inc. for cargo initiated by Logfret, NV.; and, to handle leasing and other management matters. These disputes are clearly not based on violations of the Shipping Act, as alleged. The facts pleaded in the Complaint, taken as true, for purposes of this Motion to Dismiss do not rise to Shipping Act violations. However, the curious allegations in Complaint Paragraph 11 do project a better understanding of the dispute.

b) “On or about March 1, 2017, Mr. Bergwerff, with the help of Ms. Sieval, directed Logfret B.V. to handle all customers for inbound shipments to the United States through Delmar USA rather than Logfret.” It can be inferred from the Complaint that this was probably done without the knowledge or approval of Logfret, Inc. Complaint at Paragraph 14. Again, it is quite routine that U.S. NVOCCs retain the services of other NVOCCs to act as their agents in areas

where the NVOCC which issues its bill of lading does not have affiliated offices in particular locations. The act of retaining another NVOCC to perform certain acts is not unusual. However, since there is not enough information on the background of these activities, one can only speculate on the nature of the dispute. What is clear, is that these activities, under these particular circumstances as pleaded, do not trigger Shipping Act violations. It would appear to be more in the contractual arena than the regulatory. Again, it is clear that the facts pleaded in this case are not describing activities over which the Commission has subject-matter jurisdiction. This has more to do with the extent of Mr. Bergwerff's discretion in his actions as managing director of Logfret, B.V. in the appointment of handling agents for cargo initiated by Logfret, B.V.

c) Information of those shipments to the U.S. was passed on to the handling agent in the U.S. for delivery to U.S. importers; and, these shipments were made on Logfret, Inc. bills of lading. Complaint at Paragraphs 15, 16, and 17. Again, this type of information is routinely shared with destination handling agents. This certainly again sounds like a contract or management dispute on how Logfret B.V. could perform its duties. The dispute as stated in the Complaint does not have elements of Shipping Act violations, and underscores with plausibility that the dispute is beyond the subject-matter over which the Commission has jurisdiction.

VI. CONCLUSION.

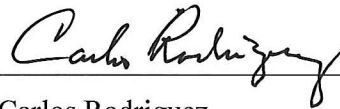
While the Complainant technically might have pleaded a case that Respondents acted as employees and managers of Logfret, B.V. to the detriment of Logfret, Inc., the Complainant has failed to establish that the Commission has personal jurisdiction over Respondents, or authority to issue any orders binding Respondents since the alleged dispute is not subject to the jurisdiction of the Commission and the Shipping Act. Additionally Complainant has by its pleadings, under *Twombly* scrutiny, failed to state a case related to subject-matters over which

the Commission has jurisdiction for which relief can be granted pursuant to the Shipping Act. Accordingly, the Commission must dismiss this proceeding against Respondents on the bases that the Complaint does not plead nor state in any non-conclusory manner that the Commission has either subject-matter jurisdiction over the plausible facts alleged in the Complaint, or personal jurisdiction over any of the Respondents in this matter. Exhibit A is submitted mainly to assist in establishing the real relationship among the parties to assist in understanding the pleadings. The ownership of Logfret B.V. and the landlord relationship between Logfret B.V. and Kirsha, B.V. was conspicuously missing from the pleadings. This information assists the Commission in understanding the pleadings as well as this Motion, and, in particular to better understand the real dispute in this matter.

VII. RELIEF REQUESTED.

For the foregoing reasons, Respondents hereby move the Commission to dismiss the Complaint as to all Respondents with prejudice and to award Respondents reasonable attorney's fees pursuant to 46 C.F.R. § 502.254.

Respectfully submitted,



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Counsel for Respondents

Kirsha, B.V.
Hans Bergwerff
Linda Sieval

Dated: January 4, 2019

EXHIBIT A

Declaration By:

Leendert Johannes Bergwerff

**BEFORE THE
FEDERAL MARITIME COMMISSION**

LOGFRET, INC.,

Complainant,

Docket
No. 18-10

KIRSHA, B.V., Leendert Johannes BERGWERFF a/k/a
Hans BERGWERFF, LINDA SIEVAL,
Respondents.

**DECLARATION OF LEENDERT JOHANNES Bergwerff IN SUPPORT OF
RESPONDENTS' MOTION TO DISMISS**

I, Leendert Johannes Bergwerff, also known as Hans Bergwerff, declare under penalty of perjury that the following is true and correct:

1. Respondent Kirsha, B.V. is a corporation organized and existing under the laws of The Netherlands, with its principal place of business at Deventerseweg 6, 2994 LD Barendrecht, The Netherlands. Kirsha, B.V. was organized and registered in The Netherlands on or about March 1996.
2. I am the sole owner and managing director of Kirsha, B.V.
3. My company, Kirsha BV, is a holding company only, and owns 27.42% of the shares of Logfret BV in the Netherlands. Kirsha BV also owns 50% of the shares of Meer Retail BV.
4. Meer Retail B.V. is Logfret, B.V.'s landlord for its office in The Netherlands at Ringdijk 366, 2983 GR Ridderkerk, The Netherlands. This relationship commenced in December, 2015 with a five year lease which is still in effect until December, 2020.
5. Kirsha, BV operates exclusively as a financial holding company of shares of other companies and does not and has never acted as a common carrier, ocean freight forwarder, or as a marine terminal operator as those terms are defined by U.S. shipping laws.

I declare under penalty of perjury that the foregoing is true and correct.

EXECUTED ON: January 4, 2019

A handwritten signature in dark ink, consisting of several overlapping loops and a long horizontal stroke, positioned above a horizontal line.

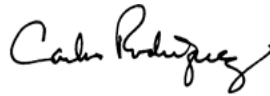
Leendert Johannes Bergwerff

CERTIFICATE OF SERVICE

The undersigned hereby certify that on the 9th day of January 2019, a true and complete copy of the foregoing *Motion to Dismiss Complaint* was served on the following by first class certified mail, postage pre-paid, return receipt requested. The service was made during serious inclement weather in the Washington D.C. area and during the government shutdown which commenced on December 22, 2018. Tracking of this filing indicated that as of January 16, 2019, receipt of service was not confirmed. On January 16, 2019, additional service was again attempted by courier and receipt was confirmed on that date at 1:31 p.m.

Ashley W. Craig
Venable LLP
600 Massachusetts Avenue, N.W.
Washington, D.C. 20001

Counsel for Complainant



Date filed:
January 28, 2019

Carlos Rodriguez
Sylvia Bartell
Counsel for Respondents

Kirsha, B.V.
Hans Bergwerff
Linda Sieval